

end of the pattern and not an up or down breakout. Therefore, the layout of this chapter is different from most other chapters in this book.

The Results Snapshot shows the important numbers for this pattern, starting with the performance rank. This pattern places first and second in bull and bear markets, respectively. Take a bow. I measured performance from the high at the end of the pattern to the ultimate low, so I can compare performance from pattern to pattern.

The breakeven failure rate is better than non-Fibonacci-based patterns, too. The *breakeven failure rate* describes a measure that counts how often price fails to drop more than 5% after turn D (D is the last point in the pattern).

The average drop is mixed, though. The bull market average is slightly worse but the bear market is slightly better than non-Fibonacci-based patterns.

The volume trend is random, really, for both bull and bear markets (50% for bulls and 51% for bears).

The next line in the table may be the most important: the reversal rate when price reaches D. Swing traders will want to see price drop at D so they can short the stock or sell a long holding. The above table shows at least 87% of the time price drops after turn D. We'll see later how far price drops. That's important, too. A pattern may have a large reversal rate, but if price doesn't travel down far from there, it's like trying to drive to work on a flat tire (meaning it's dangerous).

Let's surf the trading waters for bearish crabs to see what they look like.

Tour

[Figure 19.1](#) shows a bearish crab at turns XABCD. Before we discuss the pattern, look at the price landscape. At F the stock peaks but moves horizontally for several months, forming a flat top. After that horizontal movement, a chart pattern appears. The pattern is the crab or the double bottom at AC. In many cases that I looked at, the bullish chart pattern (such as the double bottom) fails to work as expected or as well as expected (you'll see price rise a few percent and then turn lower, busting the upward breakout).